being the S½SE¼NW¼, NE¼SW¼, S½NW¼NW¼SE¼, and N½SW¼NW¼SE¼, have been patented.

2. Until 10 a.m., on September 9, 1965, the State of Alaska shall have a preferred right to select the public lands as provided by the Act of July 28, 1956 (70 Stat. 709; 48 U.S.C. 46–3b), section 6(g) of the Alaska Statehood Act of July 7, 1958 (72 Stat. 339), and the regulations in 43 CFR 2222.9 (formerly 43 CFR, Part 76).

3. This order shall not otherwise become effective to change the status of the public lands until 10 a.m., on September 9, 1965. At that time they shall be open to the operation of the public land laws generally, including the mining and mineral leasing laws, subject to valid existing rights, the provisions of existing withdrawals, and the requirements of applicable law. All valid applications except preference rights applications from the State of Alaska received at or prior to 10 a.m., on July 16, 1965, will be considered as simultaneously filed at that time. Those received thereafter will be considered in the order of filing.

Inquiries concerning the lands should be addressed to the Manager, Land Office, Bureau of Land Management, Anchorage, Alaska.

JOHN A. CARVER, JR.,
Under Secretary of the Interior.

JUNE 10, 1965.

[F.R. Doc. 65–6344; Filed, June 17, 1965; 8:46 a.m.]

[Public Land Order 3705]

[Anchorage 061629]

ALASKA

Partly Revoking Executive Order No. 8278 of October 28, 1939

By virtue of the authority vested in the President by section 1 of the Act of June 25, 1910 (36 Stat. 847; 43 U.S.C. 141), and pursuant to Executive Order No. 10355 of May 26, 1952 (17 F.R. 4831), it is ordered as follows:

1. Executive Order No. 8278 of October 28, 1939, withdrawing the eastern portion of Kodiak Island for naval purposes, is hereby revoked so far as it affects the following described lands:

GIBSON COVE AREA

KODIAK ISLAND, ALASKA

Starting at corner No. 1 of U.S. Survey No. 2539, which is located at latitude 57°47' N. and longitude 152°26'30" W., and is the true point of beginning of this description; thence
W. 7,700 feet to a point on the 1–2 line of USS 2539;
S. 45°00' E. to a point on the 3–4 line of USS 1673;
N. 363.36 feet to corner No. 3 of USS 1673;
E. 2,459.82 feet to corner No. 2 of USS 1673;
S. 990.0 feet to corner No. 1, meander corner of USS 1673; thence following the meanders of USS 1673 around the head of Gibson Cove;
S. 50°00' W., 84.48 feet to a point;
S. 02°30' W., 208.56 feet to a point;
S. 16°45' E., 287.76 feet to a point;
S. 50°30' E., 177.54 feet to a point;
N. 79°00' E., 322.74 feet to a point;
N. 53°30' E., 711.48 feet to a point;
S. 22°30' E., 176.22 feet to a point;
S. 29°15' W., 403.26 feet to a point;
S. 51°45' W., 328.02 feet to a point; thence
S. 57°30' W., 554.40 feet to corner No. 5, meander corner of USS 1673;
W. 831.30 feet to a point on the 4–5 line of USS 1673;
S. 45°00' E., to a point on the 11–12 line of USS 2539;
N. 05°05'30" W., 8,486.68 feet to corner No. 1 of USS 2539, which is the true point of beginning of this description.

The tract described contains 654.51 acres.

The tract consists mainly of water and marginal lands lying on the northerly shore of St. Paul Harbor on Kodiak Island. About ten acres are the subject of a withdrawal application filed by the Bureau of Sport Fisheries and Wildlife. This tract, therefore, will remain segregated in accordance with the regulations in 43 CFR 2311.1–2(a) (formerly CFR 295.11a) until final action upon the application has been taken.

2. Until 10 a.m., on September 9, 1965, the State of Alaska shall have a preferred right to select the lands as provided by the Act of July 28, 1956 (70 Stat. 709, 48 U.S.C. 46–3b) and section 6g of the Act of July 7, 1958 (72 Stat. 339). After that date and hour the lands shall become subject to settlement and to application, petition, location and selection generally, subject to valid existing rights, the provisions of existing withdrawals, and the requirements of applicable law and procedures. All valid applications received at or prior to 10 a.m., on July 16, 1965, shall be considered as simultaneously filed at that time. Those filed thereafter shall be considered in the order of filing.

3. The lands have been open to applications and offers under the mineral leasing laws, and to location for metalliferous minerals. They will be open to location under the United States mining laws for nonmetalliferous minerals after 10 a.m., on September 9, 1965.

Inquiries concerning the lands should be addressed to the Manager, Land Office, Bureau of Land Management, Anchorage, Alaska.

JOHN A. CARVER, JR.,
Under Secretary of the Interior.

JUNE 10, 1965.

[F.R. Doc. 65–6345; Filed, June 17, 1965; 8:46 a.m.]

Title 49—TRANSPORTATION

Chapter I—Interstate Commerce Commission

SUBCHAPTER A—GENERAL RULES AND REGULATIONS

[No. 32248]

PART 131—UNITED STATES SAFETY APPLIANCE STANDARDS (RAILROAD)

Track Motorcars and Pushcars

At a session of the Interstate Commerce Commission, Division 3, held at its office in Washington, D.C., this 20th day of May A.D. 1965.

It appearing, that notice of proposed rule making was issued in the above-entitled proceeding on August 17, 1957 (22 F.R. 6623), pursuant to section 4(a) of the Administrative Procedure Act (5 U.S.C. 1003), for the purpose of giving effect to the holding of the Supreme Court of the United States in The Baltimore and Ohio Railroad Company v. Daniel T. Jackson (353 U.S. 325 decided May 13, 1957);

It further appearing, that hearing on the matter and things has been held;

And it further appearing, that the Division has, on the date hereof, made and filed its report in this proceeding containing its findings of fact and conclusions thereon, which said report is hereby referred to and made a part hereof; and good cause appearing therefor:

It is ordered, That 49 CFR Part 131, be, and the same is hereby, amended, effective January 1, 1967, by adding thereto two new sections, § 131.25 *Track motorcars (self-propelled 4-wheel cars which can be removed from the rails by men)* and § 131.26 *Pushcars*, reading as follows:

§ 131.25 Track motorcars (self-propelled 4-wheel cars which can be removed from the rails by men).

(a) *Handbrakes (includes foot operated brake).* Each track motorcar shall be equipped with an efficient handbrake so located that it can be safely operated while the car is in motion. Each handbrake shall be equipped with a ratchet or other suitable device which will provide a means of keeping the brake applied when car is not in motion.

NOTE: The requirements of this rule will be satisfied if the ratchet or other suitable device operates in connection with at least one handbrake on track motorcars that may be equipped with more than one such brake.

(b) *Handholds.* One or more safe and suitable handholds conveniently located shall be provided. Each handhold shall be securely fastened to car.

(c) *Sill steps or footboards.* Each track motorcar shall be equipped with safe and suitable sill steps or footboards conveniently located and securely fastened to car when bed or deck of track motorcar is more than 24 inches above top of rail.

(d) *Couplers.* When used to haul other cars, each track motorcar shall be equipped with a coupler at each end where such cars are coupled (1) which provides a safe and secure attachment, (2) which can be coupled or uncoupled without the necessity of men going between the ends of the cars.

§ 131.26 Pushcars.

(a) *Handbrakes.* When used to transport persons, each pushcar shall be equipped with an efficient handbrake so located that it can be safely operated while the car is in motion.

(b) *Handholds (includes handles).* Each pushcar shall be provided with one or more secure handholds. When used to transport persons, each pushcar shall be provided with one or more safe and suitable handholds conveniently located above the top of the bed of each pushcar.

(c) *Sill steps or footboards.* When used to transport persons, each pushcar shall be equipped with safe and suitable

sillsteps or footboards conveniently located and securely fastened to car, when bed or deck of pushcar is more than 24 inches above top of rail.

(d) *Couplers.* When moved together with other vehicles, each pushcar shall be equipped with a coupler at each end where such vehicles are coupled (1) which provides a safe and secure attachment, and (2) which can be coupled or uncoupled without the necessity of men going between the ends of the cars.

NOTE: Sections 131.25 and 131.26 are applicable only when the vehicles governed thereby are coupled together and moved together.

(Sec. 25, 41 Stat. 498, as amended; 49 U.S.C. 26. Secs. 2, 3, 36 Stat. 298; 45 U.S.C. 11, 12. Interpret or apply secs. 4, 6, 27 Stat. 531, 532; 45 U.S.C. 4, 6. Sec. 1, 32 Stat. 943; 45 U.S.C. 8. Sec. 4, 36 Stat. 299, as amended; 45 U.S.C. 13)

Notice of this order shall be given to the general public by depositing a copy thereof in the office of the Secretary of the Commission at Washington, D.C., and by filing it with the Director, Office of the Federal Register.

By the Commission, Division 3.

[SEAL] BERTHA F. ARMES,
Acting Secretary.

[F.R. Doc. 65-6419; Filed, June 17, 1965; 8:47 a.m.]

Proposed Rule Making

DEPARTMENT OF AGRICULTURE

Consumer and Marketing Service

[7 CFR Parts 1040, 1042]

[Docket Nos. AO-225-A14, AO-240-A7]

MILK IN SOUTHERN MICHIGAN AND MUSKEGON, MICH., MARKETING AREAS

Decision on Proposed Amendments to Tentative Marketing Agreements and to Orders

Pursuant to the provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U.S.C. 601 et seq.), and the applicable rules of practice and procedure governing the formulation of marketing agreements and marketing orders (7 CFR Part 900), a public hearing was held at Lansing, Mich., on November 16-20 and November 30, 1964, pursuant to notice thereof issued on October 20, 1964 (29 F.R. 14544), and supplemental notice thereof which was issued November 2, 1964 (29 F.R. 14990).

Upon the basis of the evidence introduced at the hearing and the record thereof, the Deputy Administrator, Regulatory Programs, on April 27, 1965 (30 F.R. 6163; F.R. Doc. 65-4591) filed with the Hearing Clerk, United States Department of Agriculture, his recommended decision containing notice of the opportunity to file written exceptions thereto.

The material issues, findings and conclusions, rulings, and general findings of the recommended decision (30 F.R. 6163; F.R. Doc. 65-4591) are hereby approved and adopted and set forth in full herein subject to the following modifications:

1. Under issue 2(a), *Price zones*, paragraphs 25-33 are revised by substituting 15 paragraphs, the third and fourth from last paragraphs are revised by substituting three paragraphs and two new paragraphs are added at the end of the issue.

2. Under issue 2(c), *Pool plant requirements*, paragraphs 13-16 are revised by substituting six paragraphs.

3. A new paragraph is added at the end of issue 2(d), *Classes of utilization*.

4. A new paragraph is added at the end of issue 2(d), *Computation of plant shrinkage*.

5. Under issue 2(e), *Adjusted uniform price*, three new paragraphs are added after paragraph seven.

The material issues on the record of the hearing relate to:

1. Merger of Orders No. 40 and No. 42 and expansion of the marketing area.

2. Appropriate provisions of the consolidated order concerning:

(a) Location differentials;

(b) Class I price and butterfat differentials;

(c) Pool plant requirements;

(d) Classification of milk;

(e) The adjusted uniform price for milk not under the base-excess plan;

(f) Method of pooling;

(g) Milk diverted to Southern Michigan plants from plants regulated by other Federal orders; and

(h) Administrative and miscellaneous provisions.

Findings and conclusions. The following findings and conclusions on the material issues are based on evidence presented at the hearing and the record thereof:

1. *Merger of Orders No. 40 and No. 42 and expansion of the marketing area.* The Southern Michigan and the Muskegon orders should be consolidated. The marketing area of the combined orders should be expanded to cover territory in 18 additional Michigan counties, to wit., all of Alpena, Montmorency, Alcona, Oscoda, Iosco, Ogemaw, Roscommon, Missaukee, Gladwin, Osceola, Lake, Mason, Newaygo, and Oceana Counties and the unregulated parts of Arenac, Clare, Allegan, and Presque Isle Counties. The territory covered by the new order should be called the "Southern Michigan marketing area". The Muskegon order should be revoked.

The Agricultural Marketing Agreement Act specifies that orders shall regulate only the handling of agricultural commodities, or products thereof, which are in the current of interstate or foreign commerce, or which directly burden, obstruct or affect interstate or foreign commerce. Milk handling under the proposed order is in the current of, and burdens, obstructs or affects, interstate commerce in milk and milk products. Milk from farms in Indiana and Ohio is supplied to various Michigan handlers who would be regulated under the consolidated order. These handlers are in direct competition in distribution with handlers who purchase milk produced in Michigan. Handlers and cooperatives in the consolidated market either manufacture milk surplus to bottling needs or ship such milk to manufacturing plants. Some of the products manufactured from producer milk at these plants are shipped outside the State of Michigan.

Merger of orders. Merger of the Southern Michigan and Muskegon orders and expansion of the marketing area were proposed by nine cooperative associations operating in the markets. Proponents testified that the area they proposed has become so closely integrated from a marketing and distribution standpoint that its regulation under a single order now is appropriate. They also said that such a merger and expansion of the orders would more nearly encompass the current major sales territories of handlers in the market and insure uniform pricing to producers of milk distributed throughout such area in the interest of both producers and handlers. Merger of the orders was not opposed.

Southern Michigan is the larger of the two markets proposed for merger. The Southern Michigan marketing area includes most of the central and southeastern portion of the Michigan Lower Peninsula. It extends from Detroit on the east to beyond Grand Rapids and Kalamazoo on the west. Over 300 million pounds of producer milk are pooled under the order each month. The Muskegon marketing area includes territory in three counties in western Michigan. It borders the western edge of the Southern Michigan area. Muskegon and Holland, its principal cities, are both within 40 miles of Grand Rapids in the Southern Michigan area. About 10 million pounds of milk are pooled under the Muskegon order each month.

A close sales relationship has developed between these adjacent markets. The intermarket competition developed as a byproduct of plant expansion and improvements in milk transportation. Handlers in both markets in recent years have increased the capacity of their plants to reduce unit processing costs and to obtain higher returns through increased volume. An enlargement of distribution areas accompanied the increase in plant size. Competition was encouraged by the similar health requirements in the two-market area.

With the expansion of distribution areas, a substantial number of routes originating in each of the present marketing areas now extend into the other. Handlers from several cities in the western portion of the Southern Michigan marketing area have entered the Muskegon market. Grand Rapids handlers, for example, have established regular routes in both Muskegon and Holland. Southern Michigan handlers from Kalamazoo and Carson City have acquired milk routes in Holland. Although in lesser volumes, Muskegon handlers likewise have acquired business in the Southern Michigan marketing area. Most of their sales are in the portion of the Southern Michigan area closest to Muskegon, but some of their routes extend as far east as Greenville, Mich., in Montcalm County.

Under these conditions of close competition, packaged milk sales accounts shift between these markets. Shifts of this type can cause sharp movements in producer blend prices, particularly in the Muskegon market. When large accounts change hands across market lines, Class I use and blend prices move up in one market and down in the other even though Class I use in total is not changed. This type of transfer creates no serious problem in the present Southern Michigan market because of its size. In Muskegon, however, where Class I use is about 6 million pounds, or only 3 percent of the Southern Michigan total, any substantial loss of large accounts, such as supermarkets, for example, can cause significant monthly blend price changes.

The intensity of intermarket competition has increased in recent months. Southern Michigan handlers in particular have increased the proportion of their business in the Muskegon marketing area. The inroads made by the Southern Michigan handlers have reduced